

and protect customer interests. In January, the RBI issued draft guidelines for the SRO. Jatinder Handoo, CEO of the Digital Lenders Association of India (DLAI), terms this an innovation in financial services regulation. "It plays a crucial role in promoting market stability, client protection, and responsible market conduct. It doesn't merely monitor regulatory compliance and share market intelligence with the regulator, but also represents the industry's perspective and builds market infrastructure and capacity, which is important for the growth and stability of the industry," says Handoo. The SRO is expected to be formed in the coming year.

Madhusudan Ekambaram, Co-

founder and CEO of KreditBee, emphasises the importance of an SRO in curbing rogue lenders. "This collaborative approach aligns with the RBI's goal of fostering a healthy and sustainable financial ecosystem, emphasising ethical conduct and transparency," says Ekambaram.

But considering the diverse space, will there be multiple SROs? "Given the distinct nature of fintech activities, chiefly lending and payments, it is likely that there may be two separate activity-specific SROs," says Handoo.

DIGITAL MONEY

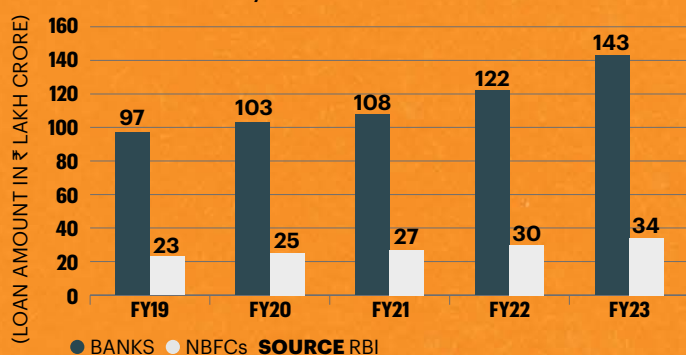
India is among the few large countries that have developed a central bank digital currency (CBDC). Last

year, the RBI conducted trials for both wholesale and retail CBDC to assess aspects like technical architecture, design options, and potential use cases. The CBDC has features like offline transactions and programmability and facilitates cross-border transactions within existing systems. "We believe, as in the case of UPI, that we will witness a considerable amount of innovation in this tokenised form of money," RBI Deputy Governor T. Rabi Sankar said recently.

The RBI has also tested interoperability between UPI payments and the CBDC. But one big question that it must address is anonymity at the transaction

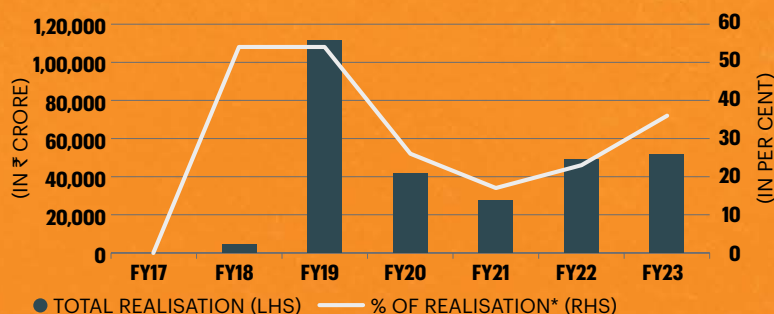
BOOK KEEPING

Banks disbursed nearly five times as much loans as NBFCs in FY23



IBC REALISATION FAR FROM HIGHS

Compared with 54% in FY18 and FY19, realisation was 36% in FY23



NOTE TOTAL REALISATION INCLUDES LIQUIDATION CASES; *REALISATION BY CREDITORS AS % OF ADMITTED CLAIMS SOURCE IBBI

RISING QR CODE PAYMENTS

In just seven years of its existence, UPI has managed to capture a significant one-fifth share of total transaction value

